
Economist Paul Krugman Has a Dark Theory About the Iran War

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Last week, President Donald Trump did a funny two-step on Iran. He began by threatening to “obliterate” Iranian power plants unless the Strait of Hormuz was safely opened back up. He gave a 48-hour deadline. Then, right before that deadline hit, Trump pulled back on his ultimatum. But a few minutes before he did that, the oil markets saw a massive spike in activity—a spike so huge that it seems clear that somebody knew something.

It sure looked as if closely guarded national security information was being used to make a quick buck. As Nobel Prize–winning economist Paul Krugman reasons, if a spy were giving our adversaries this kind of info, we’d certainly call it treason. So why not use the same language now?

This is also not the first time White House moves have been tied to suspicious trading patterns. When the president rolled out and then clawed back “Liberation Day” tariffs a year ago, [some wondered whether](#) Trump was putting the country on a financial roller coaster so that his pals could buy the dips. In other words, everything here is happening out in the open.

On a recent episode of [What Next](#), host Mary Harris spoke to Krugman about how people are making a killing off the war in Iran. This transcript has been edited and condensed for clarity.

Mary Harris: I want to focus on what happened with the Iran situation and the [oil futures](#). How does someone make money on a trade like this? We see a lot of activity right before an announcement is made. What happens then that results in me getting a bunch of cash, theoretically?

Paul Krugman: You could sell a bunch of oil futures at 6:30 in the morning at, let’s say, \$98 a barrel, and, actually, you could even sell oil futures you don’t have. You could basically just borrow them and then buy them back at 7:07, after Trump has made his announcement, for \$90 a barrel. So you’re ahead. You’ve sold stuff at \$98 and you bought it back at \$90. The actual amount of money you make is not the entire volume of the trade. But it’s a lot of money. You’re basically arbitraging between the price just before and the price just after.

Do we have a sense of how much money some person or persons made here?

I have not actually run the numbers, but if we say there was something like a 10 percent movement in oil prices, and there was \$580 million of transaction volume, then somebody collected 10 percent of that. So let’s say it was \$58 million.

How would we know the identities of these traders? It seems like that is something that is knowable. Does that just rely on a completely different administration, a completely different Securities and Exchange Commission? What would be the typical play here if we were in a normal world?

I don't do financial investigations, but I'm pretty sure that at some level, these orders have to have been placed with somebody. They might have been anonymized, but I'm pretty sure that if you did an investigation with subpoena power to require the financial institutions that have to act as brokers to reveal information, there would be a pretty clear trail pointing to it. But of course, we don't know that. Ordinarily, these things are not public knowledge. That's how financial markets work in many cases.

Could the trail dry up? I understand that maybe something won't be investigated now, but I just wonder if time means that the investigation becomes less possible?

It's possible. The people who placed these trades almost certainly have to reckon with the possibility that they could be tracked, that eventually they would be found out, and they're just operating on the presumption that they will never be held accountable. Maybe they think that we are effectively a one-party nation now, or they just think by the time it has passed there will be enough people to protect them, but it's pretty amazing. If somebody suggested to me, "Look here, you can make a million dollars by using this deeply classified national security information, and, trust us, you'll never be found out," I would not do it. Leaving patriotism and morality aside, I would say, "Gee, I don't trust that." But somebody obviously did.

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Insider trading of this kind would be illegal. If you were a corporate insider who knew stuff about XYZ corporation's finances and traded on that basis, that would be illegal too. But in this case, there are three things. First, the nature of the information. There is hardly anything that is more sensitive and protected. That's more than knowing that there's some unrealized losses on a corporate balance sheet.

Do you really think that foreign governments are, at this point, with a magnifying glass, looking at our markets and thinking that something might be about to happen?

Of course they are! That's the easiest thing. It doesn't require any deep undercover operations. Put it this way: The fact that financial media was on this almost immediately—if CNBC and the Financial Times are watching these things, how can you imagine that the Russians and the Saudis and the Chinese aren't watching it? The second thing is that this does reveal information.

But it's not specific, right? It's not specific. It's inoperational information, right?

It's pretty close to! If there's suddenly a large transaction and we're in the middle of a war with Iran and the transaction is somebody betting that things will look less dire, then this is clearly signaling that Trump is going to de-escalate in a few minutes, right? And specifically that he was going to offer a four-day window, or something about nonbombing.

You're really making the case there that this actually is maybe the most reliable signal you would get?

Yeah. Trump having announced that he's engaged in productive negotiations with the Iranian government, there's no reliability about his pronouncements about what's happening. But if you see what looks like an insider making a large financial transaction, that carries much more weight than a simple statement.

Because you're putting your money on the line.

The third was a little bit less conclusive, but as I see it, the morality, the general nature of essentially trading on or selling national secrets through financial transactions is not really different from just plain selling the national secrets. Somebody is willing to place a \$500 million bet in the futures market on the basis of national security. How different is that from just plain selling that information to a foreign power? Or a domestic power!

It shows what you value. You value making money off it.

Yeah, and for what it's worth, this is pure speculation, but my guess is this was not actually somebody close to the White House directly making the trade. This was somebody close to the White House selling the information to some large financial operator to make the trade.

[**ProPublica**](#) did a bit of an investigation into government staffers who seem to have been making suspicious stock trades in this second Trump administration. Basically, they looked at, like, *This happened on Liberation Day, you seem to have traded \$20,000 or \$50,000 worth of stocks. What happened?* It was interesting because part of what stood out to me was how hard it was to prove that these trades were made with insider information. They had to have a line in there. It was basically like, "We don't know that this is proof—we just know the timing looks suspect." Is it possible that what looks very suspicious to you and me is sloppiness somehow?

Ordinarily, I would have said, "Well, this is really hard to prove, and putting the finger on any individual is going to be very difficult." But the fact is that this is not a number of transactions made within a day or so, but actually a large slug of money, basically all at once, just 15 minutes before the big announcement. That could be a coincidence, but it's also possible that a meteor will come crashing through my window and hit me right now. It's not very likely. And so the circumstantial evidence for some kind of wrongdoing is really strong here.

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